GOVERNMENT OF THE DISTRICT OF COLUMBIA
OFFICE OF THE CHIEF FINANCIAL OFFICER

Glen Lee
Chief Financial Officer

August 6, 2025

The Honorable Phil Mendelson
Chairman
Council of the District of Columbia
John A. Wilson Building
1350 Pennsylvania Avenue, NW, Suite 504
Washington, DC 20004

Dear Chairman Mendelson:

As stated in the Office of the Chief Financial Officer's Fiscal Impact Statement, I attest that funds are sufficient for the Fiscal Year (FY) 2026 Local Budget Act of 2025 and the FY 2025 Revised Local Budget (Supplemental Budget).

However, subsequent to our June 2025 Revenue Estimates and the commencement of the District's FY 2026 budget process, Congress approved, and the President signed into law the One Big Beautiful Bill Act (OBBBA), Pub. L. No. 119-21, July 4, 2025. We are currently reviewing the OBBBA in order to determine its impact on the District's revenues and programs. We will provide the results of our review no later than September 30, and will include the impacts effecting the District's revenue in our September 2025 Revenue Estimates. I fully anticipate that the District will then need to amend the FY 2026 Budget and Financial Plan or adjust tax and spending policies to reflect these impacts.

REVENUE OUTLOOK

The economic outlook for the District remains mostly unchanged since February, although the level of uncertainty has grown. Shifting federal budget, trade, and immigration policies further increase economic uncertainty. The U.S. Bureau of Labor Statistics revised downward the employment figures for the District for FY 2023 and 2024, but increased estimates for resident employment and the labor force. Additionally, the U.S. Bureau of Economic Analysis lowered personal income and wage estimates for the fourth quarter of FY 2024, resulting in a revised, lower growth forecast for FY 2025. These adjustments were already factored into withholding income tax receipts, which align with the February forecast. Given no major changes to the economic outlook aside from heightened uncertainty, we are maintaining the February 2025 economic forecast with only minor adjustments for updated historical data.

The June forecast increased the FY 2025 revenue estimate by $243.7 million compared to February, but it did not alter the forecast for FY 2026-2029. This upward revision was based on year-to-date revenue data through May, which indicated significantly higher-than-expected corporate and non-withholding individual income tax revenues. The rise in individual income and corporate tax revenue is attributed to capital gains from high-wealth individuals and unexpectedly high profits and foreign income from major corporations, as shown in April tax filings. Most of the additional revenue in FY 2025 is nonrecurring, stemming from exceptionally strong income and asset price appreciation last year, which is unlikely to be repeated given the current economic environment. With the June update, revenue was projected to grow nearly 7% in FY

2025, decline 2.7% in FY 2026, and then increase at an average annual rate of about 3% throughout the remaining period of the financial plan.

The current forecast faces several notable risks. As a government-dependent economy, the District relies heavily on federal jobs and related economic activities, making the new administration's policies a key factor in shaping the city's economic outlook. Last month, the U.S. Supreme Court lifted a lower court order blocking massive federal job layoffs, Trump v. AFSCME, unsigned opinion, No. 24A1174, July 8, 2025. As a result, planned layoffs of federal employees could occur more quickly and on a larger scale than currently expected. Although the private sector might absorb some displaced federal workers, the recent slowdown in the local job market limits the potential for significant private sector growth. The increasing amount of vacant office space remains a major concern. Changes in federal budget, trade, and immigration policies create considerable uncertainty for businesses and consumers. Stricter trade and immigration policies could disrupt supply chains, increase input costs, and slow population and labor force growth, potentially reducing economic activity in the District. Other national risks include recession or stagflation (a mix of slow growth and high inflation), along with escalating conflicts in Ukraine and the Middle East that could disrupt energy markets and trade flows, and potentially realign fiscal priorities.

BUDGET OVERVIEW

Local Funds

The Approved FY 2026 Local Funds operating budget includes approximately $12,041.4 million in spending and other commitments. The FY 2026 budget is supported by $12,041.9 million of resources, with an operating margin of $0.5 million, as shown in Table 1 below.

Table 1: FY 2026 - FY 2029 Budget Summary - Local Funds *($ in millions)*

	FY 2026	FY 2027	FY 2028	FY 2029
Taxes	9,510.3	9,825.7	10,197.8	10,582.0
Non-Tax Revenues	1,089.2	1,059.6	1,048.9	1,042.4
Lottery	31.1	32.1	32.0	32.0
Other Resources	302.1	42.5	31.7	32.3
Revenue Proposals	18.2	94.2	103.4	106.8
Fund Balance Use	1,091.0	285.9	60.8	-
Total Local Fund Resources	**12,041.9**	**11,340.0**	**11,474.6**	**11,795.4**
Local Expenditures & Commitments	**12,041.4**	**11,339.5**	**11,474.1**	**11,794.9**
Operating Margins	**$ 0.5**	**$ 0.5**	**$ 0.5**	**$ 0.5**

Note: *Details may not add to totals due to rounding.*
**Per the Fiscal Year 2026 Local Budget Act of 2025, effective July 28, 2025.*